

Table 7.2 Means and Volatilities Conditional on Factor Realizations

	Large Stocks	Small Stocks	Govt Bonds	Corporate Bonds	
				Investment Grade	High Yield
Means					
Full Sample	11.3%	15.3%	7.0%	7.0%	7.6%
Business Cycles (1)					
Recessions	5.6%	7.8%	12.3%	12.6%	7.4%
Expansions	12.4%	16.8%	5.9%	6.0%	7.7%
Real GDP (2)					
Low	8.8%	12.2%	10.0%	9.7%	7.0%
High	13.8%	18.4%	3.9%	4.4%	8.2%
Consumption (3)					
Low	5.6%	5.6%	9.6%	9.1%	7.1%
High	17.1%	25.0%	4.4%	5.0%	8.2%
Inflation (4)					
Low	14.7%	17.6%	8.6%	8.8%	9.2%
High	8.0%	13.0%	5.4%	5.3%	6.0%
Volatilities					
Full Sample	16.0%	23.7%	10.6%	9.8%	9.5%
Business Cycles					
Recessions	23.7%	33.8%	15.5%	16.6%	18.1%
Expansions	14.0%	21.2%	9.3%	7.8%	6.8%
Real GDP					
Low	16.9%	23.7%	12.2%	11.8%	12.1%
High	14.9%	23.7%	8.5%	7.0%	6.0%
Consumption					
Low	17.5%	23.8%	11.9%	11.6%	11.8%
High	13.8%	22.7%	8.9%	7.4%	6.6%
Inflation					
Low	15.5%	21.9%	9.6%	8.2%	7.7%
High	16.4%	25.4%	11.5%	11.1%	11.0%

Returns are from Ibbotson Morningstar and are at the quarterly frequency
The sample is 1952:Q1 to 2011:Q4.
(1) Business cycles are defined by NBER recession and expansion indicators.
(2) Real GDP is quarter-on-quarter
(3) Consumption is quarter-on-quarter real personal consumption expenditures
(4) Inflation is quarter-on-quarter CPI-All Items